

ENGLISH **LIVE**

40

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 40

23rd MARCH, 2017



Compensate Banks for Farm Loan Waivers

Raising farm incomes is the long-term solution

State Bank of India (SBI) chairman Arundhati Bhattacharya is right to say that writing-off farm loans spoils credit discipline. There is pressing need to alleviate agrarian distress, but loan waivers are bad in principle, and certainly not the best option. It undermines the credit culture: borrowers would wilfully default on repayments in the hope of such schemes. This, in turn, could result in a rise in default rates, impair bank balance-sheets and injure long-term growth. Waivers also create a moral hazard as it penalises borrowers who have honoured their loan commitments. But if this is the way the political system wants to respond to agrarian distress, the government in power must compensate banks for the write-off to ensure that their balance-sheets are not further impaired, ideally by routing the funds through farmers, to protect credit discipline.

Already, state-owned banks are sitting on a pile of bad loans. The last major farm debt write-off to the tune of ₹60,000 crore was announced by the UPA government in



Budget 2008-09. The BJP promised to waive farm loans, as a poll promise while wresting power in Uttar Pradesh. A report by Kotak Institutional Equities estimates about 10% of the ₹86,000 crore farm loans in Uttar Pradesh — mostly disbursed by state-owned banks — to be impaired. If other

states follow suit, it could be a setback to financial sector reform. Compensating the banks — be it from the budget of the state or the Centre — means slashing spending elsewhere, if fiscal discipline is to be maintained. A cost-benefit analysis to figure out which scheme offers greater social benefits is in order.

The long-term solution to alleviate agrarian distress is to ensure higher prices for farm produce. Farming should be made profitable, and this requires stepping up investment in irrigation, rural roads and letting farmers sell their produce outside mandis. Removing barriers to optimise farmers' incomes will allow them to opt for commercial insurance and higher productivity. Credit flow to the farm sector and credit culture will improve. Farmers will stop looking for patronage.

DISCUSSION ON
23rd Mar (Today)

DISCUSSION ON

24th March (tomorrow)

Growth by merger

Both Vodafone and Idea stand to gain much from the merger in a tough market

The Vodafone Group's decision to merge its India unit with the Aditya Birla Group-controlled Idea Cellular is a classic case of two companies recognising truth in the adage that 'the whole is greater than the sum of its parts'. Of the two mobile operators, Idea functioned in its early years as a three-way joint venture involving the Tata Group, U.S. telecommunications behemoth AT&T, and the Aditya Birla Group. The proposed deal represents a welcome chance to resurrect its flagging fortunes. The last three quarters proved a brutal testament to the ravages that heightened competition could wreak on a middle-of-the-pack firm's operational finances. In Vodafone's case, the planned merger offers the global telecom major an opportunity to downsize its engagement with a market in which promise has outweighed performance, without actually exiting it. To that extent, it is a win-win for both parties. Set to vault the combined entity to the top of the heap in India's 1.13-billion subscribers strong mobile phone services market, the 'merger of equals', as the two companies described it, will enable Vodafone to straight away net about ₹3,900 crore on consummation of the deal by selling a 4.9% stake to the Aditya Birla Group, leaving its holding in the new company at 45.1%. Idea's controlling shareholders will have an opportunity to increase the 26% stake they will have at the start of the relationship by acquiring more shares from Vodafone over the next four years. The two firms expect to see substantial cost savings as the projected synergies from capital and operational expenditure help focus on meeting the challenges of a fast-evolving market amid a tariff war with the current leader Bharti Airtel and the ambitious recent entrant Reliance Jio.

Nevertheless, the merger, however grand the scale, could well end up being less than adequate to help staunch the flow of red ink amid an industrywide slide in average revenue per user and the steadily escalating cost of bidding for fresh wireless spectrum. With mobile number portability having made it easier for customers to switch networks on account of service quality levels or pricing, Vodafone and Idea have their work cut out in the lead-up to the merger, which they expect to close in 2018. For Vodafone, the prospect of having to meet a huge bill of about ₹21,000 crore, were it to lose its arbitral challenge to a tax claim dating back to the transaction that paved its entry to the Indian market, must surely have been a significant consideration in tipping its hand. As the company's Chairman Gerard Kleisterlee wrote in the 2016 annual report: "While India represents an excellent long-term investment opportunity, the present regulatory challenges are hampering economic development... and this is exacerbated by other ongoing regulatory and fiscal burdens." Time alone can tell whether this will end up as a truly successful marriage.

LIVE

THE ECONOMIC TIMES
18th March, 2017

THE  HINDU

Date: 22nd March, 2017



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WHAT IS PRIORITY SECTOR LENDING?

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Priority sector refers to the sectors of the economy which may not get timely and adequate credit in the absence of this special dispensation.

AND

Priority sector lending comprises small value loans to agriculture and allied sectors, micro, small and medium enterprises, social infrastructure, renewable energy, housing for poor people, students and weaker sections





PRIORITY SECTOR LENDING ... GUIDELINES

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- ✓ Lending to Agriculture include
 - Farm Credit
 - Agriculture Infrastructure
 - Ancillary Activities
- ✓ Priority sector lending includes
 - *Agriculture*
 - *Micro, small & medium enterprises*
 - *Export credit*
 - *Education*
 - *Housing*
 - *Social infrastructure*
 - *Renewable energy*
 - *Others*

(Contd...)



PRIORITY SECTOR LENDING GUIDELINES (...Contd)

DO YOU KNOW?

Marginal Farmer

- Owner / Tenant of agricultural land up to 1 Hectare (2.5 acres)

Small Farmer

- Owner / Tenant of agricultural land from 1 to 2 Hectares (2.5 to 5 acres)

- ✓ *Within 18% to Agriculture*, 8% sub-target is kept for marginal & small farmers, with the time line of

- 7% by March 2016
- 8% by March 2017

- ✓ *7.5% target is kept for micro enterprises* with the time line of

- 7% by March 2016
- 7.5% by March 2017

- ✓ *Non-achievement will be assessed on quarterly basis from 2016-17 onwards.*

- ✓ *Foreign Banks with less than 20 branches will move to 40% target by 2019-20.*

NO CHANGE...

- No change in the target of 10% for weaker sections.
- Foreign Banks with 20 branches and above have to ensure 40% target by March 2018.

(Contd...)



PRIORITY SECTOR LENDING

SUB GROUPS OF AGRICULTURE

FARM CREDIT

- Crop loans to farmers
- Loans to individual farmers / SHGs / JLGs engaged in Agriculture and Allied activities.
- Loans to farmers up to Rs. 50 lakh against Pledge / Hypothecation of agriculture produce.

AGRICULTURE INFRASTRUCTURE

- For construction of warehouses, godowns, cold storage, soil conservation, seed production etc.
- Rs. 100 crore per borrower.

ANCILLARY ACTIVITIES

- Loans up to Rs. 5 crore to co-operative societies of farmers.
- Loans for food and agro processing industries up to Rs. 100 crore per borrower.



A SNAPSHOT ON PRIORITY SECTOR LENDING

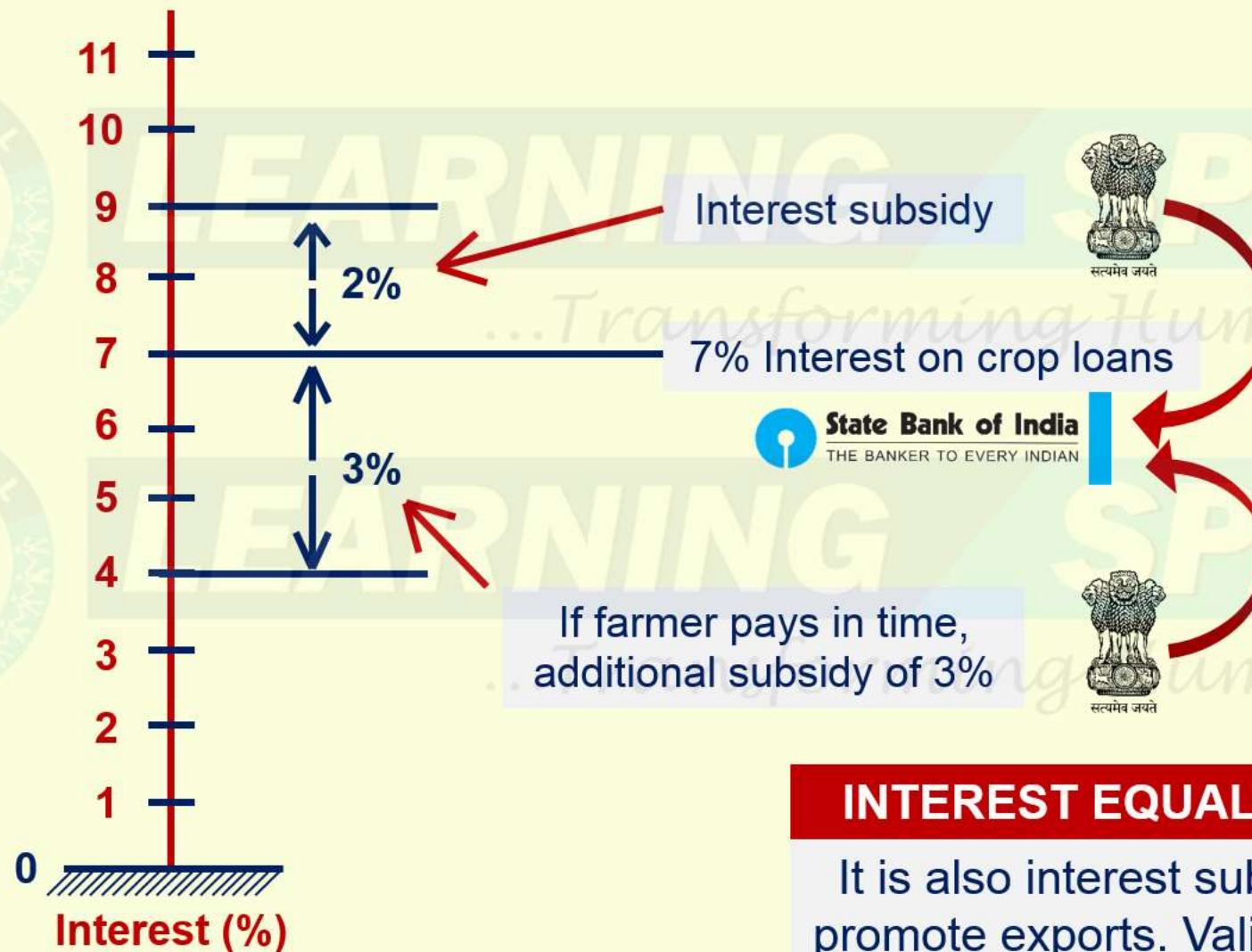
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40% Total priority sector lending target for all commercial banks (for foreign banks of 20 and more branches by March 2018 & Less than 20 branches by March 2020)	18% Agriculture (for marginal & small farmers 7 percent by March 2016 8 percent by March 2017)
10% For Weaker Sections	7½% Micro Enterprises (7% by March 2016 & 7½% by March 2017)
NEWLY ADDED Medium Enterprises Social Infrastructure Renewable Energy	RS. 100 crore Limit for Agriculture Infrastructure, Food & Agro-processing Industry.

These targets are the percentage of ANBC or credit equivalent amount of Off-Balance Sheet Exposure, which ever is higher.



INTEREST SUBVENTION SCHEME

LIVE**YEAR
2015-16**

INTEREST EQUALISATION SCHEME

It is also interest subsidy of 3% so as to promote exports. Valid for 5 years from 1st April, 2015



Write off

*This is to remove loans from
their balance sheets*





Provisioning

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Provisioning

Setting aside of money from profits to compensate a probable loss caused on lending a loan. It is to cover the risk.



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18th March 2017



LEARNING SPACE

...Transforming Human Lives

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Spoils

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Recent oil spill near Ennore port **spoiled** the entire coastline.



Spoils

To destroy / to reduce the pleasure or interest



Alleviate

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Alleviation of poverty is the real challenge for the governments in our country.



Alleviate

To make something bad, such as pain or problems, less severe



Distress

*There is a great emotional **distress** in the student fraternity associated with lack of self discipline and sometimes, depression because of jobless growth.*



Distress

Extreme anxiety, sorrow, or pain.



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Undermine

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*Excessive foreign debt
undermines the country's
ability to act independently.*

Undermine

Erode the base/
foundation of

Undermine

To lessen the
effectiveness/power
/ability of



Wilfully

*In the banking system,
substantial portion of NPAs
are due to **wilful** defaulting*



Wilfully

To do some bad thing intentionally



Default

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Subsequent to 2008 financial crisis, several loan **defaults** took place across the world.



Default

Failure to fulfil an obligation, especially to pay back the loan or appearing in a court of law



Impair

*Her knee injury **impaired** India's chances of winning gold medal in the world athletics*



Impair

To make something weaker, so that it becomes ineffective



Hazard

*If deliveries do not take place in institutions, they increase the **hazards** of childbirth.*



Hazard

A danger or risk.



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Wrest

*Governments are frantically trying to **wrest** control over the autonomous institutions in our country.*



सत्यमेव जयते

Wrest

Take something, especially power or control after considerable effort or difficulty.



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Follow suit

*As Reliance Jio slashed the prices of data, other telecom operators have been forced to **follow suit**.*



Reliance
jio



vodafone

Follow suit

To follow in the same pattern / to follow (someone else's) example



Setback

*Serial bomb blasts occurring in Afghanistan are a serious **setback** for the peace process.*



Setback

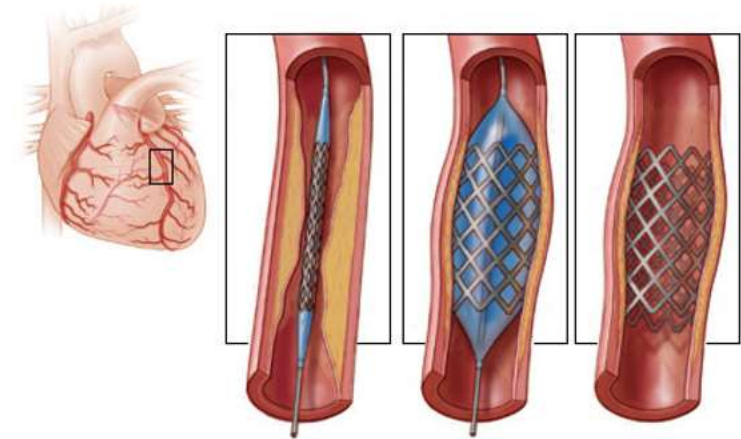
Something that delays or prevents a process from developing



Slash

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NPPA *slashed* the prices of
stents recently



Slash

To reduce something by a large amount suddenly



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LEARNING

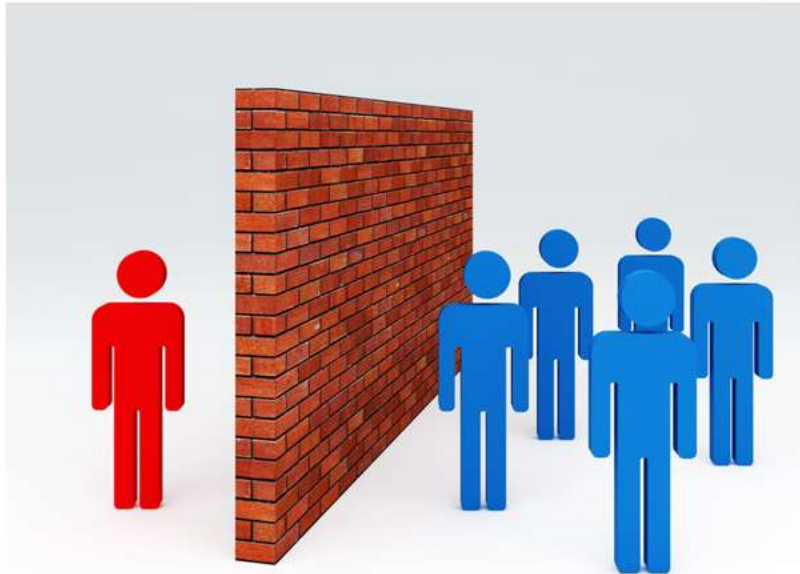
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Barrier

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Barrier



*The Government feels that the Opposition is the main **barrier** for taking up various reform measures in Rajya Sabha*

barrier

Something that prevents something else from happening



Optimum



सत्यमेव जयते



The government should
make **optimum** use of
scarce resources.

Optimum



Growth by merger

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